Topic 3 - Financial Statements

Questions

1 The statement of financial position of a business at the start of the week is as follows:

	£
Non-current assets	
Property	145,000
Furniture and fittings	63,000
	208,000
Current Assets	
Inventories	28,000
Trade receivables	33,000
	61,000
Total assets	269,000
Equity	203,000
Current liabilities	
Trade payables	23,000
Bank overdraft	43,000
	66,000
Total equity and liabilities	269,000

During the week the following transactions take place:

a) Inventories sold for £11,000 cash. These inventories had cost £8,000
b) Inventories sold for £23,000 on credit. These inventories had cost £17,000
c) Received cash from trade receivables £18,000
d) Owners of the business paid £100,000 of their own money into the business bank account
e) Owners transferred a van valued at £10,000 into the business
f) Bought inventories on credit for £14,000
g) Paid trade payables £13,000

Required

Show the statement of financial position at the end of the week.